

10 Taxation (continued)

There are unrecognised deferred tax assets on the following temporary differences (presented below before the application of the relevant tax rate) due to uncertainty over the level of profits in the non-REIT elements of the Group in future periods:

£m	2019	2018
Revenue losses – UK	398.4	300.8
Capital losses – UK	34.5	34.2
Derivative financial instruments	172.7	184.9
Other temporary differences	20.1	9.7
Total unrecognised temporary differences	625.7	529.6

The Company recognises no deferred tax asset or liability (2018: nil).

11 Dividends

£m	2019	2018
Ordinary shares:		
2017 final dividend paid of 9.4 pence per share	–	126.3
2018 interim dividend paid of 4.6 pence per share	–	61.8
Dividends paid	–	188.1

The directors are not recommending a final dividend for 2019. See note 10 for further information on the associated tax consequences of not declaring and paying dividends in accordance with REIT legislation.

Details of the shares in issue and dividends waived are given in notes 28 and 29 respectively.

Additional information on distributable reserves is provided in the financial review on page 37.

The 2019 cash flow statement outflow in respect of equity dividends paid relates to £8.2 million of withholding tax paid in respect of the 2018 interim dividend.

12 Earnings per share

(a) Basic and diluted earnings per share

	2019			2018		
	Loss £m	Shares million	Loss per share pence	Loss £m	Shares million	Loss per share pence
Basic ¹	(1,950.9)	1,344.5	(145.1)p	(1,132.2)	1,343.7	(84.3)p
Diluted ²	(1,950.9)	1,344.5	(145.1)p	(1,132.2)	1,343.7	(84.3)p

1 The weighted average number of shares used has been adjusted to remove shares held in the ESOP.

2 Diluted shares include the impact of any dilutive convertible bonds, share options and share awards.

During 2017 the Group incurred a £49.4 million share related charge in relation to its Spanish development partner Eurofund's future interests in the share capital of the intu Costa del Sol development company. The positive impact of this share related charge on equity attributable to owners of intu properties plc is a credit to retained earnings of £49.4 million. Subsequent to 31 December 2019, the Group has received the final ratifications required for full planning to become effective and therefore we expect the positive impact on retained earnings to reverse, once these arrangements are formally concluded.